

THE SESSION • POST-CLOSE READ

Oil Sets *the Terms*

Brent's advance toward \$95 and a global bond selloff opened September with a broad, orderly retreat in equities — and left both FCI sleeves well ahead of their benchmarks on the year.

S&P 500 ▼ 0.70%

NASDAQ ▼ 1.03%

DOW ▼ 0.79%

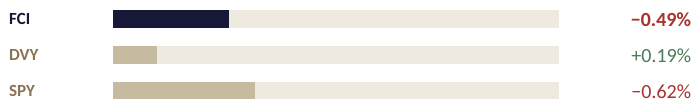
VIX 16.34

BRENT ▲ \$95

DIVIDEND STRATEGY

▼ TRAILED DVY • BEAT SPY

-0.49%

1-DAY

YTD +21.12% vs DVY +17.16% • SPY +12.36%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-1.91%

1-DAY

YTD +20.30% vs IUSG +12.63%

THE SESSION

September opened with the physical world doing the pricing: crude advanced roughly five percent, Treasury yields reached ground last visited in January 2025, and equities gave back measured ground across the board.

The S&P 500 eased 0.70%, the Nasdaq 1.03% and the Dow 0.79% as a bond selloff that ran through gilts, JGBs and Treasuries alike pushed the 10-year toward 4.8% and firmed the dollar. Brent's move toward \$95 followed a further round of hostilities in the Strait of Hormuz — including a supertanker reported to have struck mines in the southern lane — and the market drew the through-line quickly: supply risk feeds inflation, inflation feeds the Federal Reserve, and futures now assign September hike odds north of 60 percent, roughly double the pricing that prevailed before Jackson Hole.

The morning's data did little to argue otherwise. ISM manufacturing printed 54.6 for August — still expansion, but under the 55.2 consensus and July's 55.6 — with prices paid holding at an elevated 71.1 and the employment component easing to 51.2. July job openings landed near expectations at 7.27 million while hiring slowed, the hires rate easing to 3.2%. Firm prices against a cooling labor market is precisely the mixture that keeps a hawkish committee hawkish, and the tape treated it that way: the VIX lifted from below 15 to 16.34, only a handful of sectors finished higher with energy at the front, and consumer discretionary lagged. Energy's leadership is no one-day affair — it has led sector performance through the third quarter — and today it was joined by the defensive bid in healthcare and staples.

The cost of money and the cost of crude were repriced today. The earnings power of the businesses we own was not.

For the sleeves, the day resolved along beta lines. The Dividend Strategy eased 0.49%, holding up better than SPY's -0.62% while trailing DVY's +0.19% as the yield-heavy benchmark caught the defensive bid; Constellation, NextEra and Atmos all finished green inside the sleeve. The Growth Portfolio gave back 1.91% against IUSG's -1.00%, the gap concentrated where the year's gains have been — connectivity and semiconductor names de-rated into a rising discount rate, and the sleeve's gold and digital-asset adjacencies followed their metals lower,

with IBIT off 2.04% and ETHA off 2.62%. The morning's framing of a physical-supply variable running against a front-end-rate repricing resolved exactly that way; what it did not change is the standing. Year to date the Dividend Strategy is +21.12% against DVY's +17.16% — a spread of +3.96 points — and the Growth Portfolio is +20.30% against IUSG's +12.63%, a spread of +7.67 points. Days like this one are the toll the market charges for those numbers; owners pay it and stay.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

EIX +8.93%

GROWTH

Recovered part of Monday's decline after KCRA reported the California Assembly intends to shelve the Senate's wildfire-liability bill; the state's utilities lifted together on the report.

HRMY +4.75%

GROWTH

The sleeve's low-beta rare-neurology franchise caught the rotation toward healthcare, closing at the top of its 52-week range.

DECLINERS

CRDO -8.65%

GROWTH

Holders trimmed exposure into tonight's fiscal Q1 report; the print after the close beat on revenue and earnings (see Holdings News).

FTNT -5.31%

GROWTH

High-multiple software led the tape lower; shares gave back part of a strong post-earnings run ahead of Palo Alto's report.

MARA -5.01%

GROWTH

Bitcoin softened alongside gold under rising yields and a firmer dollar; the miner traded with the coin.

CNX +3.24%

GROWTH

Appalachian natural gas carried the energy bid as Hormuz supply risk continued to reprice the hydrocarbon complex.

NTR +2.86%

DIVIDEND

The ag-nutrient producer advanced with a firming crop and raw-materials complex on a day the market paid up for physical supply.

CVX +2.38%

GROWTH

Brent's advance toward \$95 lifted the integrated majors; shares finished at the upper end of the session's range.

AEM -4.75%

GROWTH

Gold eased roughly 2% to a two-week low as Treasury yields reached levels last seen in January 2025.

SOFI -4.64%

GROWTH

Rate-sensitive fintech came under pressure as September hike odds moved past 60% on the CME curve.

HOLDINGS NEWS

Credo delivers its beat after the bell. Credo Technology reported fiscal Q1 2027 after today's close: revenue of \$479 million, up 114.7% year over year and ahead of the roughly \$471 million consensus, with adjusted earnings of \$1.20 per share against \$1.17 expected. Shares, which fell 8.65% in the regular session as holders de-risked into the print, eased further in early after-hours trade — when expectations run ahead of even strong results, the market grades on a curve. The business continues to execute; the multiple is doing the arguing, and Broadcom's Wednesday report is the next word in that argument.

Sacramento gives Edison a reprieve. Edison International recovered 8.93% after KCRA reported the California Assembly intends to shelve the Senate's wildfire-liability bill — the measure whose omission of a liability cap pressured the state's utilities on Monday. The relief arrived alongside caution from the Street: BofA and Mizuho moved to Neutral and UBS trimmed its target to \$63. For now the legislative calendar, not the power business, is setting the price; we are watching the Assembly, not the tape.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.12%

vs DVY +17.16% / SPY +12.36%

Spread vs DVY +3.96 pts

GROWTH PORTFOLIO

+20.30%

vs IUSG +12.63%

Spread vs IUSG +7.67 pts